National Bank of Poland preview: Geopolitical tension makes a March cut a close call

A March cut would be consistent with the central bank's clear communication in recent weeks and the improving inflation outlook. Recent events in Iran pose a material risk with higher oil prices. The probability of easing has declined. We see a March cut as likely but with hawkish rhetoric. We see upside risks to the terminal rate, which we assume to be 3.25%

The National Bank of Poland in Warsaw

The rate cut was a done deal until the weekend, but the strikes on Iran pose a material risk

The 25bp rate cut we expect this month has clearly been signalled by policymakers – just as the pause we saw in the first months of this year. Headline inflation has been running low in recent months and is widely expected to remain below, or close to, the National Bank of Poland s (NBP's) 2.5% target (+/- 1 percentage point).

The March NBP staff macroeconomic projection should also point to broad-based and sustainable disinflation in the coming quarters. Core inflation disinflation is not materially at risk following the US strikes on Iran, while higher energy commodity prices – if sustained – pose upside risks to headline CPI. However, this would primarily represent a supply side shock, which central banks typically look through.

Additionally, the recently released activity data from the Polish economy provide further justification for monetary easing. Wage growth resumed its downward trend in January after a temporary upswing in the final two months of 2025. This should support a continued slowdown in services inflation, facilitating a further decline in core inflation. Moreover, January data from industry and construction point to some weakening in economic activity in early 2026, reflecting the impact of severe weather conditions but also calling for full year growth below 4% year over year.

The magnitude of the oil price shock poses a significant upside risk to headline CPI but should be temporary

The new variable which needs to be considered by the Monetary Policy Council is the US-Israeli strikes on Iran, the upward impact of energy commodities on inflation and downside on GDP and especially investments.

We estimate that a persistent 10% upswing in crude oil may boost CPI inflation by 0.2-0.5 percentage points. The negative impact on GDP is probably of lower magnitude (0.2-0.3pp), but we also need to factor in the long-term effect of geopolitical uncertainty affecting business confidence and undermining private business s propensity to invest.

If current spot prices of Brent were sustained, it would add up to 1pp to inflation. So, the magnitude of the oil shock poses a significant upside risk to headline CPI, but at the same time, the shock may be temporary in nature and possibly unwind in a few weeks.

The strike on Iran is clearly a supply shock which central banks usually look through. It differs from the Covid/Russia war shocks as these were a combination of supply and demand shocks and caused a more significant rise in prices and de-anchored inflation expectations.

Also, the strike on Iran may dampen economic activity and weigh on business sentiment, with possible adverse effects on investment activity.

At the current juncture, the shock seems to be more persistent risk for private investments than for inflation.

Target rate may be higher than 3.25% amid the turmoil in Iran

We therefore maintain our baseline assumption of a March cut, but the probability of easing has declined. We expect a 25bp cut to be accompanied by a hawkish statement on Wednesday. Moreover, NBP Governor Glapiński is likely to present a more cautious policy outlook at Thursday's press conference, even if the new macroeconomic projection clearly points to a lower-than-expected inflation path.

Until the situation in Iran becomes clearer, it is difficult to assess the likelihood and timing of any additional rate cuts. However, the NBP's terminal rate may well end up higher than the 3.25%

assumed so far.

Author

Rafal Benecki
Chief Economist, Poland
rafal.benecki@ing.pl

Adam Antoniak
Senior Economist, Poland
adam.antoniak@ing.pl

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("**ING**") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.